

## RESULT UPDATE

## KEY DATA

|                                         |                     |
|-----------------------------------------|---------------------|
| <b>Rating</b>                           | <b>BUY</b>          |
| <b>Sector relative</b>                  | <b>Outperformer</b> |
| <b>Price (INR)</b>                      | <b>389</b>          |
| <b>12 month price target (INR)</b>      | <b>445</b>          |
| <b>52 Week High/Low</b>                 | <b>414/316</b>      |
| <b>Market cap (INR bn/USD bn)</b>       | <b>3,769/39.4</b>   |
| <b>Free float (%)</b>                   | <b>48.8</b>         |
| <b>Avg. daily value traded (INR mn)</b> | <b>5,009.2</b>      |

## SHAREHOLDING PATTERN

|          | Mar-26 | Dec-25 | Sep-25 |
|----------|--------|--------|--------|
| Promoter | 51.1%  | 51.1%  | 51.1%  |
| FII      | 16.54% | 16.24% | 16.4%  |
| DII      | 29.26% | 29.31% | 29.06% |
| Pledge   | 0%     | 0%     | 0%     |

## FINANCIALS

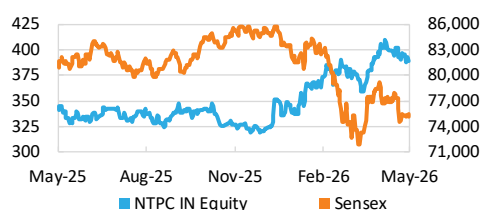
(INR mn)

| Year to March      | FY25A | FY26A | FY27E | FY28E |
|--------------------|-------|-------|-------|-------|
| Revenue            | 1,881 | 1,874 | 2,126 | 2,233 |
| EBITDA             | 541   | 553   | 714   | 756   |
| Adjusted profit    | 195   | 229   | 253   | 275   |
| Diluted EPS (INR)  | 20.1  | 23.7  | 26.1  | 28.3  |
| EPS growth (%)     | (6.3) | 17.6  | 10.3  | 8.6   |
| RoAE (%)           | 13.4  | 13.7  | 11.8  | 11.8  |
| P/E (x)            | 19.3  | 16.4  | 14.9  | 13.7  |
| EV/EBITDA (x)      | 10.9  | 11.1  | 8.7   | 8.3   |
| Dividend yield (%) | 2.2   | 2.3   | 2.4   | 2.5   |

## CHANGE IN ESTIMATES

|                   | Revised estimates |       | % Revision |       |
|-------------------|-------------------|-------|------------|-------|
| Year to March     | FY27E             | FY28E | FY27E      | FY28E |
| Revenue           | 2,126             | 2,233 | 2%         | 0%    |
| EBITDA            | 714               | 756   | 8%         | 1%    |
| Adjusted profit   | 253               | 275   | -6%        | -3%   |
| Diluted EPS (INR) | 26.1              | 28.3  | -6%        | -3%   |

## PRICE PERFORMANCE


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## Weak demand keeps quarter muted

NTPC's Q4FY26 standalone (SA) adjusted PAT at ~INR53bn grew 5.8% (1.5% below our estimate) aided by deferred tax-led lower tax outgo. Weak power demand resulted in lower PLFs YoY ([exhibit 2](#)) leading to a 4.4% YoY decline in SA generation. While other income fell 52% YoY, it was offset by favourable tax treatment. Full year FY26 core RoE is estimated at 16.5% (17.5% YoY) as regulated equity rose 4.1% YoY.

Despite near-term growth challenges, NTPC remains our top pick given steady-state 16–17% core RoE and a 9.4% adjusted consolidated EPS CAGR over FY26–28E (higher RE-led growth) while trading inexpensive at 1.7x FY28E P/BV. Retain 'BUY' with a TP of INR445 (earlier INR409) at 2.5x FY28E SA book + NTPC Green at a 30% discount to CMP (INR104).

## Q4 SA PAT broadly in-line; FY26 adj. consolidated PAT up ~17% YoY

Standalone (SA) adjusted PAT rose 5.8% YoY (~1.5% below our estimate) despite favourable tax adjustments. SA generation dipped ~4.4% YoY in Q4FY26 on a weak demand-led dip in PLF to 76% (versus 81% in Q4FY25). Adjusted consolidated PAT in FY26 rose ~17% YoY at INR229bn ([exhibit 3](#)) dragged by 20% drop in profit from subsidiaries while JV share of profits grew a robust 30% YoY. NGEL's FY26 profit grew 10% YoY since capex was back-ended (in Q3/Q4). Moreover, since most upcoming capacity additions are now under its subsidiaries/JVs; consolidated EBITDA/PAT shall reflect most of the future growth (+9.8% consolidated EPS CAGR over next two years). *NTPC has 34.1GW of u/c capacity: Thermal (Coal): 16.5GW, RE: 15GW and Hydro: 2.6GW - implying 10–12GW additions annually over next three years.* Board has approved total dividend payout of INR9 for FY26 (INR5.5/INR3.5 – interim/final). Moreover, there are coal gasification projects under execution, nuclear projects progressing with site studies, engagement with domestic (NPCIL) and international technology (EDF – France) with execution subject to government approvals.

## Nuclear and PSP updates

The company is executing 4x700MW Mahi Banswara Atomic Nuclear project via Ashvini JV with NPCIL – excavation consent for unit 1 and 2 was received in Mar-26 and potential sites have been identified/studies conducted in multiple states. *Pumped storage portfolio was 18GW.* NTPC completed preliminary/detailed project reports for 21/four projects. Total 1GW has been commissioned till Apr-26.

## New frontiers – BESS at thermal power stations

A 5GWh BESS has been allocated to NTPC under the VGF scheme to optimise utilisation of existing thermal infrastructure and supply during non-solar hours. The capacity is planned across 14 stations and shall improve efficiency and lower costs.

## Financials

| Year to March     | Q4FY26   | Q4FY25   | % Change | Q3FY26   | % Change |
|-------------------|----------|----------|----------|----------|----------|
| Net Revenue       | 4,31,107 | 4,39,037 | (1.8)    | 4,06,438 | 6.1      |
| EBITDA            | 1,25,041 | 1,12,550 | 11.1     | 1,19,917 | 4.3      |
| Adjusted Profit   | 52,890   | 50,011   | 5.8      | 46,530   | 13.7     |
| Diluted EPS (INR) | 5.5      | 5.2      | 5.8      | 4.8      | 13.7     |

## Financial Statements

### Income Statement (INR mn)

| Year to March          | FY25A     | FY26A     | FY27E     | FY28E     |
|------------------------|-----------|-----------|-----------|-----------|
| Total operating income | 18,81,381 | 18,73,846 | 21,25,877 | 22,33,065 |
| Energy Cost            | 10,70,324 | 9,82,425  | 11,06,118 | 11,49,596 |
| Employee costs         | 67,961    | 69,863    | 71,337    | 73,477    |
| Other expenses         | 2,01,819  | 2,68,701  | 2,34,654  | 2,53,779  |
| EBITDA                 | 5,41,276  | 5,52,858  | 7,13,767  | 7,56,213  |
| Depreciation           | 1,74,012  | 1,96,293  | 2,01,443  | 2,11,365  |
| Less: Interest expense | 1,31,681  | 1,38,009  | 1,73,779  | 2,09,963  |
| Add: Other income      | 27,244    | 24,139    | 30,000    | 33,000    |
| Profit before tax      | 3,21,983  | 2,46,693  | 3,76,840  | 3,79,474  |
| Prov for tax           | 82,452    | (28,764)  | 1,18,219  | 98,663    |
| Less: Other adj        | 0         | 0         | 0         | 0         |
| Reported profit        | 2,34,225  | 2,70,525  | 2,52,891  | 2,74,589  |
| Less: Excp.item (net)  | (39,260)  | (41,180)  | 0         | 0         |
| Adjusted profit        | 1,94,965  | 2,29,345  | 2,52,891  | 2,74,589  |
| Diluted shares o/s     | 9,697     | 9,697     | 9,697     | 9,697     |
| Adjusted diluted EPS   | 20.1      | 23.7      | 26.1      | 28.3      |
| DPS (INR)              | 8.4       | 9.0       | 9.2       | 9.8       |
| Tax rate (%)           | 25.6      | (11.7)    | 31.4      | 26.0      |

### Important Ratios (%)

| Year to March             | FY25A | FY26A | FY27E | FY28E |
|---------------------------|-------|-------|-------|-------|
| Operation cost (% of rev) | 71.2  | 70.5  | 66.4  | 66.1  |
| Employee cost (% of rev)  | 3.6   | 3.7   | 3.4   | 3.3   |
| Other exp (% of rev)      | 10.7  | 14.3  | 11.0  | 11.4  |
| EBITDA margin (%)         | 28.8  | 29.5  | 33.6  | 33.9  |
| Net profit margin (%)     | 10.4  | 12.2  | 11.9  | 12.3  |
| Revenue growth (% YoY)    | 5.4   | (0.4) | 13.4  | 5.0   |
| EBITDA growth (% YoY)     | 5.9   | 2.1   | 29.1  | 5.9   |
| Adj. profit growth (%)    | (6.3) | 17.6  | 10.3  | 8.6   |

### Assumptions (%)

| Year to March           | FY25A    | FY26A    | FY27E    | FY28E    |
|-------------------------|----------|----------|----------|----------|
| GDP (YoY %)             | 6.5      | 6.6      | 7.0      | 7.5      |
| Repo rate (%)           | 6.3      | 5.0      | 4.5      | 5.5      |
| USD/INR (average)       | 84.6     | 87.5     | 87.0     | 88.0     |
| Commercial cap CI (MW)  | 74,577.0 | 78,305.9 | 82,221.1 | 86,332.2 |
| Reg Eq Closing (INR bn) | 861.0    | 861.0    | 861.0    | 861.0    |
| Implied Reg RoE (%)     | 24.5     | 24.5     | 24.5     | 24.5     |
| Avg coal plant PLF (%)  | 68.0     | 68.0     | 68.0     | 68.0     |
| Units produced (BUs)    | 320.2    | 320.2    | 320.2    | 320.2    |
| Capex (INR bn)          | 412.8    | 440.1    | 418.5    | 435.6    |

### Valuation Metrics

| Year to March      | FY25A | FY26A | FY27E | FY28E |
|--------------------|-------|-------|-------|-------|
| Diluted P/E (x)    | 19.3  | 16.4  | 14.9  | 13.7  |
| Price/BV (x)       | 2.0   | 1.9   | 1.7   | 1.6   |
| EV/EBITDA (x)      | 10.9  | 11.1  | 8.7   | 8.3   |
| Dividend yield (%) | 2.2   | 2.3   | 2.4   | 2.5   |

Source: Company and Nuvama estimates

### Balance Sheet (INR mn)

| Year to March        | FY25A     | FY26A     | FY27E     | FY28E     |
|----------------------|-----------|-----------|-----------|-----------|
| Share capital        | 96,967    | 96,967    | 96,967    | 96,967    |
| Reserves             | 17,43,745 | 19,34,790 | 21,04,202 | 22,90,470 |
| Shareholders funds   | 18,40,712 | 20,31,757 | 22,01,168 | 23,87,436 |
| Minority interest    | 70,515    | 79,774    | 79,774    | 79,774    |
| Borrowings           | 24,75,751 | 26,72,582 | 28,18,880 | 29,43,602 |
| Trade payables       | 1,11,600  | 1,17,871  | 1,32,712  | 1,37,928  |
| Other liabs & prov   | 2,88,543  | 2,03,639  | 2,03,639  | 2,03,639  |
| Total liabilities    | 52,41,646 | 55,86,436 | 59,16,986 | 62,33,192 |
| Net block            | 27,09,358 | 31,76,715 | 30,98,568 | 31,24,767 |
| Intangible assets    | 0         | 0         | 0         | 0         |
| Capital WIP          | 10,07,759 | 8,48,328  | 11,43,526 | 13,41,596 |
| Total fixed assets   | 37,17,117 | 40,25,042 | 42,42,094 | 44,66,363 |
| Non current inv      | 1,97,036  | 2,41,800  | 2,41,800  | 2,41,800  |
| Cash/cash equivalent | 1,14,571  | 80,038    | 1,18,292  | 1,78,227  |
| Sundry debtors       | 3,47,507  | 3,72,818  | 4,22,961  | 4,44,287  |
| Loans & advances     | 11,209    | 26,114    | 26,114    | 26,114    |
| Other assets         | 6,66,898  | 6,92,337  | 7,17,438  | 7,28,113  |
| Total assets         | 52,41,646 | 55,86,436 | 59,16,986 | 62,33,192 |

### Free Cash Flow (INR mn)

| Year to March         | FY25A      | FY26A      | FY27E      | FY28E      |
|-----------------------|------------|------------|------------|------------|
| Reported profit       | 3,29,910   | 2,41,284   | 3,68,545   | 3,67,885   |
| Add: Depreciation     | 1,74,012   | 1,96,293   | 2,01,443   | 2,11,365   |
| Interest (net of tax) | 1,30,477   | 1,36,528   | 1,73,779   | 2,09,963   |
| Others                | (86,375)   | 3,536      | 8,295      | 11,589     |
| Less: Changes in WC   | (523)      | (32,780)   | (60,404)   | (26,785)   |
| Operating cash flow   | 5,04,359   | 5,09,018   | 5,73,439   | 6,75,353   |
| Less: Capex           | (4,12,834) | (4,40,069) | (4,18,494) | (4,35,635) |
| Free cash flow        | 91,526     | 68,949     | 1,54,945   | 2,39,719   |

### Key Ratios

| Year to March         | FY25A | FY26A | FY27E | FY28E |
|-----------------------|-------|-------|-------|-------|
| RoE (%)               | 13.4  | 13.7  | 11.8  | 11.8  |
| RoCE (%)              | 8.7   | 7.9   | 10.6  | 10.6  |
| Inventory days        | 38    | 38    | 38    | 38    |
| Receivable days       | 62    | 62    | 62    | 62    |
| Payable days          | 36    | 36    | 36    | 36    |
| Working cap (% sales) | 49.4  | 51.0  | 49.6  | 51.1  |
| Gross debt/equity (x) | 1.3   | 1.3   | 1.3   | 1.2   |
| Net debt/equity (x)   | 1.2   | 1.2   | 1.2   | 1.1   |
| Interest coverage (x) | 3.7   | 4.0   | 4.1   | 3.5   |

### Valuation Drivers

| Year to March     | FY25A | FY26A | FY27E | FY28E |
|-------------------|-------|-------|-------|-------|
| EPS growth (%)    | (6.3) | 17.6  | 10.3  | 8.6   |
| RoE (%)           | 13.4  | 13.7  | 11.8  | 11.8  |
| EBITDA growth (%) | 5.9   | 2.1   | 29.1  | 5.9   |
| Payout ratio (%)  | 44.9  | 37.7  | 46.3  | 46.1  |

## Q4FY26 conference call: Key highlights

### Q4FY26/FY26 highlights

- Group installed capacity: 89.1 GW.
- FY26 gross additions: 9,618MW; net addition after Tanda Stage I decommissioning: 9,178MW.
- Standalone installed capacity: 60.8GW; standalone FY26 addition: 1,378MW.
- FY26 RE addition: 5,488MW; FY26 thermal addition (after decommissioning adjustment): 3,690MW.
- FY26 coal PAF: 90.12% (FY25: 89.95%); FY26 coal PLF: 72.04% (FY25: 77.44%).
- Q4FY26 coal PAF: 91.9% (Q4FY25: 92.52%); Q4FY26 coal PLF: 76.16% (Q4FY25: 81.24%).
- FY26 regulated equity: INR946.31bn (standalone).
- FY26 consolidated regulated equity: INR1,203.19bn.
- Q4FY26 consolidated other expenses increase was driven by exchange-rate variation and a one-time item of INR1.98bn (called out for Q4).

### Future outlook and guidance (near-term capacity)

- FY27 total capacity addition guidance: 9,557MW.
- FY27 split: 1,070MW thermal; 250MW hydro; 8,237MW renewable (includes 176MW from standalone; rest via JVs/subsidiaries).
- FY28 renewable additions guidance: 8,135MW.
- FY29 guidance: Total 11,478MW (8,408MW RE; 3,070MW thermal).
- PPA visibility: ~75% of capacity broadly tied up over next three years; FY27 ~79% PPA-tied, FY28 ~71% PPA-tied.
- Transmission/connectivity note: management working to improve firm connectivity (firm/DGNA mix to improve across FY27–29) and pursuing inorganic options to help reach 60GW by the FY32 target.

### Capex

- FY26 capex: INR358.0bn.
- FY27 capex guidance: INR400.0–450.0bn.
- FY28 capex guidance: ~INR480.0 bn.
- FY32 capex plan: INR6tn (roughly half, ~INR3tn, earmarked for NGEL over the medium term).

### PSP (pumped storage)

- Target plan: 4,800MW of PSP via JVs/subsidiaries.
- CoD achieved: 75MW in FY26; additional 250MW in Q1FY27.
- Balance 3,800MW under planning.

- Management target: another 3–5GW of PSP by FY32–33; typical project execution ~6.5–7 years.
- Tehri update: last two Tehri PSP units became operational in April (moved to PSP section since it is a storage update).

## BESS (battery energy storage systems)

- A 5GWh BESS project is under execution on a cost-plus model; management noted CERC support for this approach.
- Additional BESS capacities are in the pipeline (planning stage).

## Nuclear

- NTPC has elevated nuclear as a long-term focus.
- Mahi Banswara Units 1 and 2 have been given the go-ahead.
- Total NTPC nuclear plan cited: ~2.8GW.
- Consent/clearances: ~2,717MW consenting work across Rajasthan, Gujarat and Madhya Pradesh (other locations under feasibility).
- Timeline: First unit synchronisation planned for Nov-32; at least one 700MW unit anticipated by FY32 (staggered commissioning thereafter).

## NGEL/curtailment

- FY26 curtailment for NGEL: 314MUs.
- Compensation: a separate 135MU of loss was compensated; but GNA-related issues caused ~INR0.9bn EBITDA hit.
- Consolidated RE pipeline clarified to ~30GW (reduced from previously shown 32GW as projects moved from “pipeline” into execution across JVs/subsidiaries).

## Management commentary (operational and regulatory)

- No material operational impact from geopolitical issues; coal stock at ~18 days and captive mines account for ~18% of consumption.
- Limited dependence on gas-based generation insulated NTPC from gas-price volatility.
- Management attributed lower thermal PLFs to daytime RE injection and softer daytime demand; fixed-charge recovery under regulation protects PAT.
- On technical minimum: plants operating constraints and compensation mechanisms discussed; the company expects assured recovery for technical-minimum-related parameters (~55% reference mentioned).

## Thermal

- Patratu Stage I: Unit 2 expected in Q1FY27; Unit 3 targeted within FY27 — near-term thermal execution pipeline.
- Management reiterated that thermal remains financially protected through fixed charges and regulatory compensation for specific cost impacts.

## Other important updates

- Coal gasification: pilot-scale activity noted (~0.4mn tonnes per annum pilot).
- Strategic moves: management pursuing inorganic opportunities to accelerate capacity and reach the 60GW objective ahead of timeline.
- PPAs and transmission: management continues to tie up PPAs and improve firm connectivity to reduce curtailment risk as new capacity comes online.

### Exhibit 1: Adjusted PAT breakdown (Standalone)

| Particulars (INR mn)              | FY26            | FY25            | YoY (%)    | Q4FY26        | Q4FY25        | YoY (%)    |
|-----------------------------------|-----------------|-----------------|------------|---------------|---------------|------------|
| <b>Reported Profit</b>            | <b>2,31,622</b> | <b>1,96,490</b> | <b>18%</b> | <b>87,472</b> | <b>57,780</b> | <b>51%</b> |
|                                   | -               | -               |            | -             | -             |            |
| Previous year Sales/Fuel          | -33,192         | -10,373         | 220%       | -18,814       | -293          | 6332%      |
| Previous year tax impact on Sales | -               | 1,403           | -100%      | -             | 3             | -100%      |
| Tax impact on above adjustments   | 6,852           | 1,567           | 337%       | 4,339         | 51            | 8471%      |
| Provisions etc.                   | 5,770           | -4,480          | -229%      | 2,200         | -4,480        | -149%      |
| Previous year tax impact          | -32             | -4,450          | -99%       | -32           | -3,015        | -99%       |
| Impact of Deferred Tax on PAT     | -15,716         | -               |            | -22,273       | -             |            |
| <b>Adjusted Profit</b>            | <b>1,95,303</b> | <b>1,80,157</b> | <b>8%</b>  | <b>52,892</b> | <b>50,046</b> | <b>6%</b>  |

Source: Company, Nuvama Research

### Exhibit 2: PLF scenario during Q4FY26 – Coal PLFs remain weaker YoY

|                               | NTPC STANDALONE |                | FY 26         |               | FY 25         |
|-------------------------------|-----------------|----------------|---------------|---------------|---------------|
|                               |                 |                | Q4            | Q3            | Q4            |
| <b>Comml. Generation (BU)</b> | <b>352.529</b>  | <b>372.800</b> | <b>91.050</b> | <b>87.251</b> | <b>95.201</b> |
| <b>ESO(BU)</b>                | <b>327.448</b>  | <b>347.292</b> | <b>84.765</b> | <b>80.995</b> | <b>88.693</b> |
| <b>PAF- Coal (%)</b>          | <b>90.12</b>    | <b>89.95</b>   | <b>91.93</b>  | <b>90.80</b>  | <b>92.52</b>  |
| <b>PLF-Coal (%)</b>           | <b>72.04</b>    | <b>77.44</b>   | <b>76.16</b>  | <b>71.03</b>  | <b>81.24</b>  |

Source: Company Q4FY26 PPT

### Exhibit 3: Consolidated adjusted PAT growth after MI at ~17% in FY26

| Adjusted PAT (Consolidated) | FY26            | FY25            | Q4FY26        | Q4FY25        |
|-----------------------------|-----------------|-----------------|---------------|---------------|
| Reported PAT                | 2,75,450        | 2,39,530        | 1,06,150      | 78,970        |
| Total Adjustments           | -41,180         | -39,260         | -40,370       | -26,490       |
| Minority Interest           | -4,932          | -5,307          | -1,285        | -2,859        |
| <b>Adjusted PAT</b>         | <b>2,29,338</b> | <b>1,94,963</b> | <b>64,495</b> | <b>49,621</b> |

Source: Company, Nuvama Research

**Exhibit 4: Quarterly and annual financial snapshot (INR mn) — Standalone**

| Y/E March                                             | Q4FY26        | Q4FY25        | %YoY        | Q3FY26        | %QoQ        | FY25      | FY26      | YoY%  |
|-------------------------------------------------------|---------------|---------------|-------------|---------------|-------------|-----------|-----------|-------|
| Generation (MUs)                                      | 91,050        | 95,226        | -4%         | 87,259        | 4%          |           |           |       |
| Net Sales                                             | 4,31,107      | 4,39,037      | -2%         | 4,06,438      | 6%          | 17,00,374 | 16,54,937 | -3%   |
| Expenditure                                           | 3,06,066      | 3,26,486      | -6%         | 2,86,521      | 7%          | 12,46,642 | 12,06,946 | -3%   |
| EBITDA                                                | 1,25,041      | 1,12,550      | 11%         | 1,19,917      | 4%          | 4,53,732  | 4,47,991  | -1%   |
| EBITDA (%)                                            | 29.0          | 25.6          | 13%         | 29.5          | -2%         | 26.7      | 27.1      | 1%    |
| Other income                                          | 9,190         | 19,090        | -52%        | 10,290        | -11%        | 43,761    | 42,309    | -3%   |
| Depreciation                                          | 40,514        | 40,325        | 0%          | 41,170        | -2%         | 1,50,558  | 1,60,309  | 6%    |
| EBIT                                                  | 93,717        | 91,316        | 3%          | 89,036        | 5%          | 3,46,934  | 3,29,991  | -5%   |
| Interest                                              | 26,670        | 30,973        | -14%        | 22,752        | 17%         | 1,10,570  | 1,04,422  | -6%   |
| PBT                                                   | 67,047        | 60,342        | 11%         | 66,284        | 1%          | 2,36,364  | 2,25,569  | -5%   |
| Prior Period Items                                    |               |               |             |               |             |           |           |       |
| Tax                                                   | -87,373       | 23,202        | -477%       | 21,094        | -514%       | 72,997    | -35,036   | -148% |
| Tax rate (%)                                          | -130.3        | 38.5          | -439%       | 31.8          | -509%       | 30.9      | -15.5     | -150% |
| Movement in Regulatory deferral accounts (net of tax) | -66,947       | 20,641        | 424%        | 4,679.1       | -1531%      | 33,127.0  | -28,983.2 | -187% |
| Exceptional items                                     | -             | 0             | 0%          | -             | 0%          | -         | -         |       |
| Reported PAT                                          | 87,473        | 57,781        | 51%         | 49,869        | 75%         | 1,96,494  | 2,31,622  | 18%   |
| PAT (adjusted)                                        | 52,890        | 50,011        | 6%          | 46,530        | 14%         | 1,80,160  | 1,88,740  | 5%    |
| EPS (Rs)                                              | 5.5           | 5.2           | 6%          | 4.8           | 14%         | 20.3      | 23.9      | 18%   |
| Core RoE                                              | 19.4%         | 15.8%         | 23%         | 16.5%         | 18%         | 11.6%     | 11.2%     | -3%   |
|                                                       |               |               |             |               |             |           |           |       |
|                                                       |               |               |             |               |             |           |           |       |
| <b>Cost-break up</b>                                  | <b>Q4FY26</b> | <b>Q4FY25</b> | <b>%YoY</b> | <b>Q3FY26</b> | <b>%QoQ</b> |           |           |       |
| Raw material Costs                                    | 2,19,218      | 2,51,768      | -13%        | 2,27,001      | -3%         |           |           |       |
| % of sales                                            | 51            | 57            |             | 56            |             |           |           |       |
| Staff Costs                                           | 17,126        | 16,658        | 3%          | 14,719        | 16%         |           |           |       |
| % of sales                                            | 4.0           | 3.8           |             | 3.6           |             |           |           |       |
| Other Expenses                                        | 69,722        | 58,060        | 20%         | 44,801        | 56%         |           |           |       |
| % of sales                                            | 16.2          | 13.2          |             | 11.0          |             |           |           |       |

Source: Company, Nuvama Research

**Exhibit 5: Subsidiary contribution to NTPC's consolidated PAT (INR mn)**

| Sr no |                                              | FY26   | FY25   | Variation | Remarks                                                 |
|-------|----------------------------------------------|--------|--------|-----------|---------------------------------------------------------|
| 1     | THDC India Ltd.                              | 10,290 | 7,310  | 2,980     | Commissioning of Khurja (660 MW) and Tehri PSP (750 MW) |
| 2     | NTPC Green Energy Ltd.                       | 5,020  | 4,750  | 270       | Commissioning of new projects during the year.          |
| 3     | Bhartiya Rail Bijlee Company Ltd.            | 4,650  | 3,890  | 760       | Reduction in Finance Cost & R&M expense                 |
| 4     | NTPC Vidyut Vyapar Nigam Ltd.                | 1,920  | 2,060  | (140)     | Reduction in Surcharge Income                           |
| 5     | North Eastern Electric Power Corporation Ltd | 7,690  | 5,850  | 1,840     | Revision of DTL & RDA due to adoption of new tax regime |
| 6     | Ratnagiri Gas & Power Private Ltd.           | 1,690  | 17,510 | (15,820)  | One time Revenue Recognition (MSEDCL) in PY.            |
| 7     | Patratu Vidyut Urja Nigam Limited            | 1,270  | -      | 1,270     | Commissioning of Unit I (800 MW)                        |
| 8     | NTPC Mining Ltd                              | 590    | 30     | 560       | Transfer of Coal mines from NTPC to NTPC Mining Ltd     |
| 9     | Others                                       | -      | (10)   | 10        |                                                         |
|       | Total                                        | 33,120 | 41,390 | (8,270)   |                                                         |

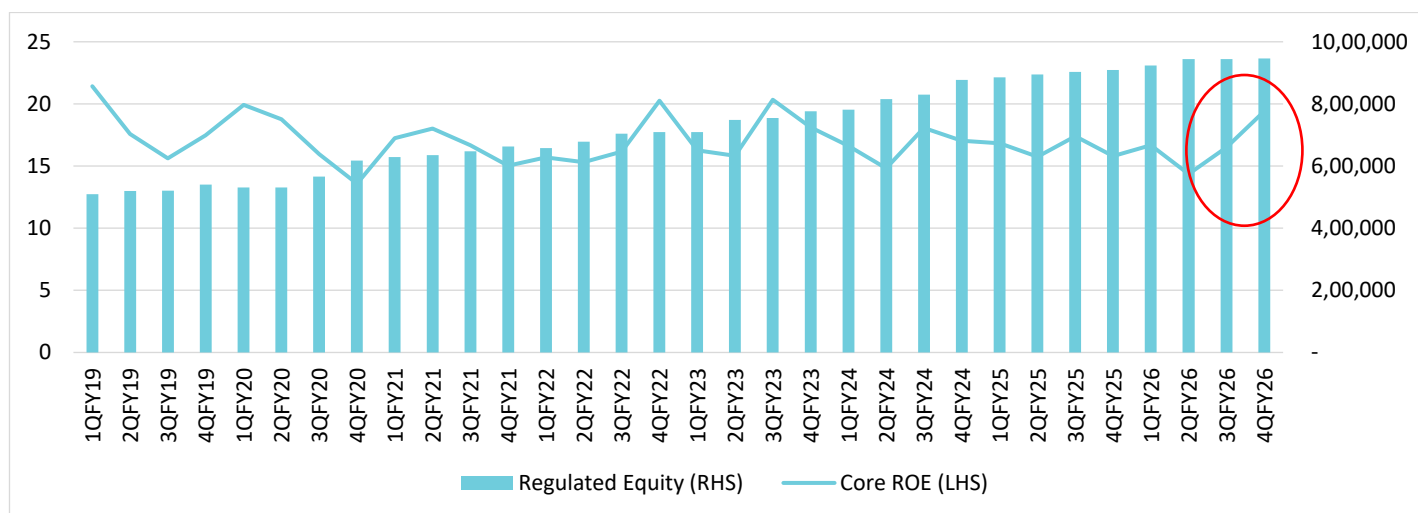
Source: Company Q4FY26 PPT

**Exhibit 6: JV share in NTPC's consolidated PAT (INR mn)**

| Sr no |                                                       | FY26    | FY25    | Variation | Remarks                                                                               |
|-------|-------------------------------------------------------|---------|---------|-----------|---------------------------------------------------------------------------------------|
| 1     | Hindustan Urvarak and Rasayan Ltd                     | 7,350   | 4,100   | 3,250     | Due to sales volume growth and Improved gas efficiency and increase in trading margin |
| 2     | NTPC Tamil Nadu Energy Company Ltd.                   | 3,550   | 2,490   | 1,060     | Favourable impact of CERC tariff order received during the year                       |
| 3     | Bangladesh-India Friendship Power Company Private Ltd | 2,730   | 5,240   | (2,510)   | Provision of tariff adjustment and provision for Workers Profit Participation Fund    |
| 4     | NTPC-SAIL Power Company Ltd.                          | 2,840   | 1,970   | 870       | Revision of DTL, RDA due to adoption of new tax regime                                |
| 5     | Aravali Power Company Private Ltd.                    | 8,780   | 3,790   | 4,990     | Favourable impact of CERC Tariff order received during the year                       |
| 6     | Jhabua Power Ltd.                                     | 1,520   | 810     | 710       | Increase in generation in CY and better realisation of merchant rates of power in CY  |
| 7     | Energy Efficiency Services Ltd.                       | (2,090) | (2,790) | 700       | Increase in profit from joint ventures of the company                                 |
| 8     | Meja Urja Nigam Private Ltd.                          | 3,720   | 6,310   | (2,590)   | CERC tariff order impact accounted in PY                                              |
| 9     | Sinnar Thermal Power Ltd                              | (220)   | -       | (220)     | Acquired under CIRP in CY                                                             |
| 10    | Others                                                | 460     | 220     | 240       |                                                                                       |
|       | Total                                                 | 28,640  | 22,140  | 6,500     |                                                                                       |

Source: Company Q4FY26 PPT

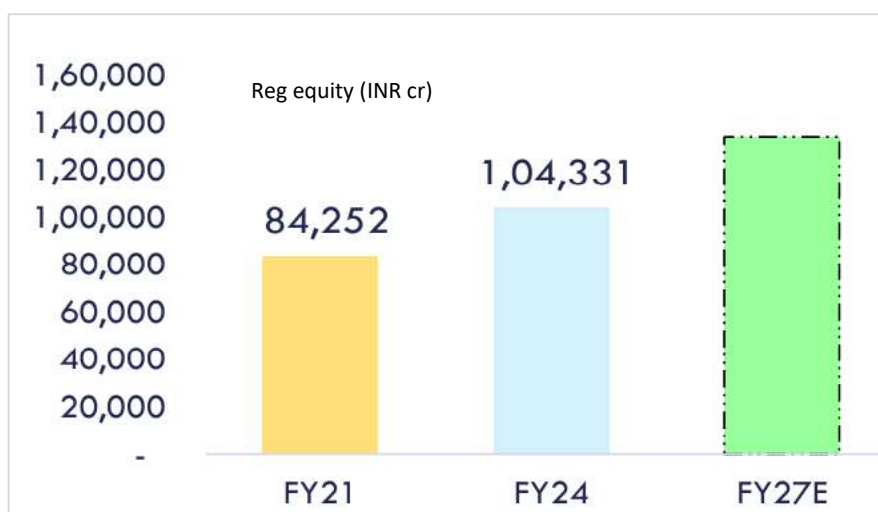
**Exhibit 7: Core RoE at high 19.4% YoY – due to lower other income-led adjusted PAT jump and low regulated equity base**



Source: Company, Nuvama Research



**Exhibit 8: Consolidated regulated equity to grow to more than INR1.2tn**



Source: [NTPC July'24 ppt](#)

**Exhibit 9: SotP valuation**

| NTPC SotP (INR)                 | Comments   | Multiple (x) | SotP (RE – 30% Hold co Discount taken) |
|---------------------------------|------------|--------------|----------------------------------------|
| FY28 Regulated equity           | P/BV       | 2.5          | 276                                    |
| FY28 CWIP (Equity component)    | P/BV       | 1.0          | 41                                     |
| FY26 Investments & Cash         | FY26       | 1.0          | 33                                     |
| NGEL + Regulated Equity in JV's | P/BV ; DCF |              | 95                                     |
| <b>Target Price</b>             |            |              | <b>445</b>                             |

Source: Company, Nuvama Research



## Company Description

NTPC, a Maharatna company set up in 1975, is India's largest power generation company, with ~89GW-installed capacity. It was founded by GoI, which now holds ~51% stake in the company. With a plethora of under construction projects, NTPC is looking to commercialise 10-12GW of capacity each year for the next two-three years. The company has forayed into coal mining operations with multiple mines in various phases of development. It has also forayed into renewable generation as it plans to set up 60GW RE capacity by 2032 and expand its overall generation portfolio to 130GW by 2032 with 30% of the basket from non-fossil fuel based capacity.

## Investment Theme

NTPC is a distinctive play on thermal demand and transitioning towards RE, aided by its size and profitability. Thermal is still the mainstay but all future capacity addition is based on renewables energy with a target of 60GW capacity by 2032. NTPC currently has most of its operational capacity (standalone) under the regulated model. This enables it to pass on increase in costs, limiting the impact on profitability. NTPC's thermal profitability shall likely improve, given: i) no significant fuel based under-recoveries; ii) improving PLFs; iii) accelerated commissioning; and iv) higher incentives.

NTPC's RE focus is the mainstay given its: i) unique advantage to leverage its thermal plants to blend-in RE; ii) ready access to human and financial capital; and iii) risk framework, which protects against downside. Further, the thermal giant's transition towards new energy encompasses decarbonisation of industrials and mobility, not just RE.

While the existing business earns regulated RoEs of 17-18% on invested equity (including incentives), the RE capex is on a competitive bidding basis, wherein NTPC enjoys a 1–1.5% lower cost of debt (versus private sector peers) given its balance-sheet size and near-sovereign status being a Maharatna company. This enables higher IRRs despite competitive tariffs. NTPC aims to grow its RE portfolio to 60GW by FY32 from the current ~9GW (6x+ growth in 6 years). Given NTPC's 25% share in India's power generation and the country's plan to add 30–35GW of RE a year on a conservative basis, we argue NTPC is poised to maintain its market share.

## Key Risks

**Delay in project execution:** Any delay in execution of pipeline projects could result in downside from the estimated earnings/valuations.

**SEB delays:** NTPC earns surcharge on the overdue from the SEBs. However, given the SEB's critical financial health, there could be some risk of waiver in future. We see low probability of this being crystallised though.

**Fuel supplies:** Fuel non-availability could affect PAFs leading to higher-than-estimated fixed cost under-recoveries impacting RoEs. This could lower regulated returns of 15.5% in 2025-29

## Additional Data

### Management

|                 |                             |
|-----------------|-----------------------------|
| CMD             | Shri Gurdeep Singh          |
| Dir (Finance)   | Shri Jaikumar Srinivasan    |
| Dir (Operation) | Shri Ravindra Kumar         |
| Dir (Projects)  | Shri K. Shanmugha Sunadaram |

### Holdings – Top 10\*

|                 | % Holding |                 | % Holding |
|-----------------|-----------|-----------------|-----------|
| Life Insurance  | 5.62      | Republic of Sin | 2.16      |
| ICICI Prudentia | 4.15      | HDFC Asset Mana | 1.71      |
| Nippon Life Ind | 3.17      | BlackRock Inc   | 1.66      |
| SBI Funds Manag | 2.47      | HDFC Trustee Co | 1.59      |
| Vanguard Group  | 2.20      | FMR LLC         | 1.27      |

\*Latest public data

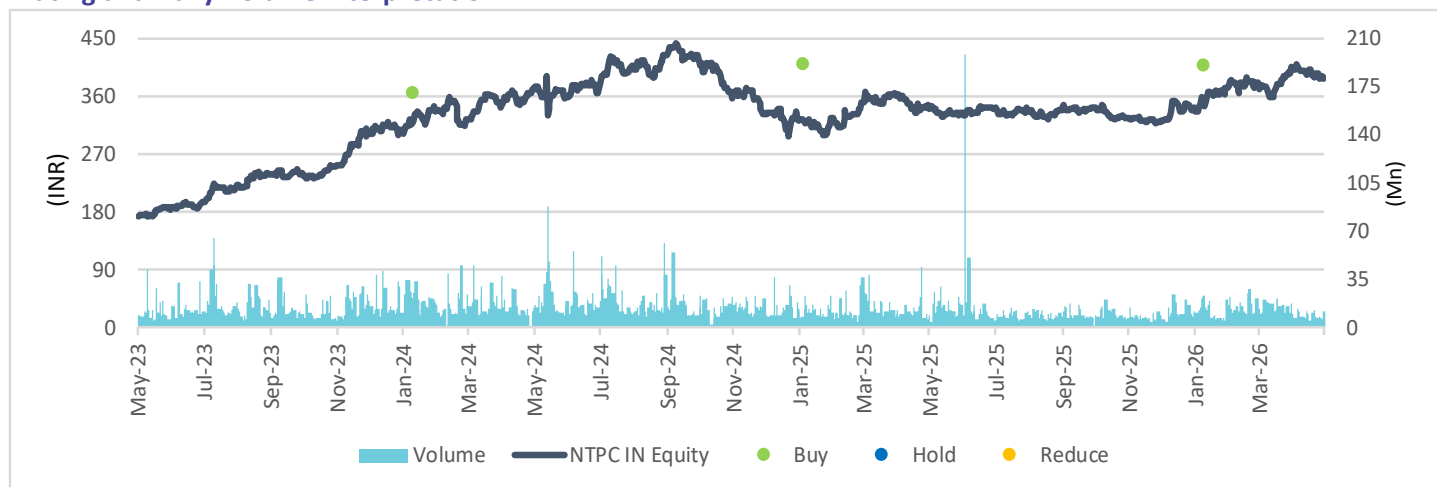
### Recent Company Research

| Date      | Title                                                  | Price | Reco |
|-----------|--------------------------------------------------------|-------|------|
| 30-Jan-26 | Steady quarter amid weak macros; <i>Result Update</i>  | 356   | Buy  |
| 30-Oct-25 | Weak demand-led muted growth; <i>Result Update</i>     | 345   | Buy  |
| 29-Jul-25 | Robust core RoE despite weak PLF; <i>Result Update</i> | 334   | Buy  |

### Recent Sector Research

| Date      | Name of Co./Sector  | Title                                                      |
|-----------|---------------------|------------------------------------------------------------|
| 18-May-26 | Power Corporation   | Grid Capex builds while earnings lag; <i>Result Update</i> |
| 12-May-26 | Tata Power Company  | Module strength cushions Genco drag; <i>Result Update</i>  |
| 08-May-26 | ACME Solar Holdings | Non-core gains boost PAT; <i>Result Update</i>             |

### Rating and Daily Volume Interpretation



### Rating Rationale & Distribution: Nuvama Research

| Rating | Expected absolute returns over 12 months | Rating Distribution |
|--------|------------------------------------------|---------------------|
| Buy    | 15%                                      | 222                 |
| Hold   | <15% and >-5%                            | 61                  |
| Reduce | <-5%                                     | 34                  |

### Market Cap Distribution

| Nuvama Coverage Companies | Numbers |
|---------------------------|---------|
| Large Cap                 | 84      |
| Mid Cap                   | 84      |
| Small Cap                 | 149     |

We cover around 76% of Market Cap of NSE 500

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